

Churn Analysis: Findings & Recommendations

Steering Committee | BCG Data Science Team

Key Finding: Price sensitivity is a contributing but not primary driver of churn. A predictive model can identify ~41% of at-risk customers before they leave, enabling proactive retention.



What We Found

- ~10% of SME customers churn annually
- Net margin & 12m consumption are top churn drivers
- Customer tenure matters: newer clients churn at higher rates
- Price sensitivity is a weak but present signal — not the primary cause



Model Performance

- 41% of churners identified before they leave
- 19% precision: ~1 in 5 flagged customers actually churns
- 90%+ accuracy — but misleading due to class imbalance
- Model is limited by the class imbalance, would improve with more historical churn data



Recommended Actions

- Deploy model to flag at-risk customers monthly
- Design targeted retention offers for flagged accounts
- Run controlled discount experiment to isolate price sensitivity
- Collect more churn data to retrain and improve the model

Early identification of even 41% of churners, combined with a targeted retention offer, could meaningfully reduce SME revenue attrition.